

Scenario-Based Forward Guidance

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Note

1. The Concept of a Policy Round

A policy round under FPAS Mark II is a structured decision-making system that integrates four key stages: assessment, scenario development, policy decision, and communication. Unlike traditional frameworks where forecasting and policy are separated, the Central Bank of Armenia (CBA) treats these stages as a unified process.

A distinctive innovation is that the policy round is not linear but a continuous loop: once the Board makes a decision, the system transitions directly into evaluation and preparation for the next round. This institutional feedback structure transforms the CBA into a dynamic learning organization, improving judgment, and enhancing communication with each iteration.

At the core of the policy round is the creation of

All FPAS Mark II scenarios should answer the following questions:

1. Where is the economy now?
2. What are the underlying forces driving the economy?
3. How should policy adjust its tools to achieve its targets.

2. Stage One: Where is the economy today?

Every projection and policy analysis cycle begins with a fundamental question: where is the economy now? Economists use their expertise to interpret current economic conditions, considering how different developments fit together and what they reveal about the underlying state of the economy. This requires judgment—understanding how the economy is behaving, and assessing which forces are likely to matter most.

A key part of this stage is evaluating whether the risks and developments observed are temporary fluctuations or signs of deeper, more persistent shifts in the economy. Economists translate these assessments into narratives that explain what is happening and why. These narratives are not mechanical outputs; they reflect informed reasoning about the economy's structure, behaviour, and likely trajectory.

As new information emerges, these narratives evolve. The most important requirement is that they remain conceptually consistent across different areas of the economy—growth, inflation, labour markets, external conditions, and expectations. Once established, these coherent narratives become the starting point for constructing future risk scenarios.

The Staff are encouraged to challenge the status quo about the underlying features in the economy. This typically means hypothesizing about alternative views about key unobserved variables such as potential output, the NAIRU, the country risk premium, the neutral interest rate, and inflation expectations both domestically and in foreign economies. The implications of this analysis can change our views about where the economy is today. The narratives evolve as new information emerges, and staff continuously revisit their initial assessments—refining existing narratives or developing new ones when economic conditions shift. Although high-frequency indicators provide timely signals about developments in inflation, labour markets, external conditions, credit activity, and expectations, their value lies in how economists interpret them, not in the data alone. These signals help inform real-time judgments about the economy's direction, but it is the staff's economic reasoning—rather than any model or statistical tool—that ultimately shapes the diagnosis of current conditions and the understanding of underlying forces. For example, in 2022, when Russia invaded Ukraine, the general consensus at the time among the Board was that this was going to have negative implications on the Armenian economy. Meanwhile, there was at least one board member at the time, who had a completely different interpretation of the shock, who said that it would ultimately benefit the Armenian economy i.e. higher potential output. In this instance, the narratives about the state of the economy could be very different from each other moving forward depending on one's views of potential output which would have significant implications on estimates of the output gap.

Staff meet with the Board on a regular basis to update them on current economic conditions and the evolving narratives. These weekly briefings—held without fail every Wednesday afternoon—ensure that the assessment of risks, uncertainties, and underlying forces remains a continuous and ongoing conversation, rather than something compressed into the days immediately preceding a policy decision. This

steady rhythm of discussion keeps the Board closely connected to the evolving economic landscape throughout the entire policy cycle.

3. Stage Two: Scenario Development - What are the underlying forces?

At this stage, staff begin constructing the Mark II illustrative scenarios. They receive each Board member's *Initial Macroeconomic Risk Assessment*—the one-pager that outlines the member's interpretation of the key forces shaping the economy, the risks and shocks they consider most relevant, and the adverse developments they believe warrant the greatest attention. These one-pagers provide the starting point for translating individual perspectives into a coherent set of scenarios that reflect the full range of concerns within the Board.

Staff construct a set of internally consistent scenarios: a market reference, a Case A where the path of the policy rate is above the market reference scenario, and a Case B where the path of the policy rate is below the market reference scenario. These scenarios incorporate shocks relevant to Armenia's economic environment, including commodity prices, external demand, financial conditions, and domestic risks.

Each scenario includes a narrative about what drives economy under that path. The Staff uses suite of models that provide quantitative projections of narratives and risk scenarios. However, the projections are ultimately expert-driven with extensive analysis and judgement to support their plausibility. In FPAS Mark II, scenarios are not alternatives to choose from but tools to evaluate risks and trade-offs. They help assessing where the balance of risks lies and how those risks could shift.

4. Stage Three: Policy Decision - The Least-Regrets Evaluation

Against the backdrop of entire policy round's lively discussions and debates of the multiple scenarios and risks, along with the submission of the final illustrative market reference, Case A and Case B scenarios, Board members would take a vote on the policy decision. The Board's decision would be announced in tandem with issuance of the Monetary Policy Report, which would clearly communicate through a narrative approach the Board's decision with reference to the scenarios and ingredients considered by policymakers to be most relevant to the current situation and its uncertainties.

As part of the decision-making process, board members would make submissions that include:

- the policy action they propose;
- how that action connects to what they believe may happen in the future and its ensuing policy implications.

- and their commitment to changing course if new information arises.

5. Stage Four: Communication and Accountability

The final stage of the policy round transforms internal deliberations into clear, public-facing communication. The CBA publishes the policy decision together with an accompanying Press Release, and the Monetary Policy Report (MPR) is released on the same day. The announcement is followed by a Governor-led press conference with members of the media, which is live-streamed to ensure the broader public receives a timely and transparent explanation of the decision and the reasoning behind it.

The CBA publishes MPR on the same day as policy decision. The CBA emphasizes scenario analysis rather than a single deterministic forecast. Communication explains:

- the economic context,
- the rationale for the decision,
- the risks evaluated, and
- the structure of the decision process.

This transparency enhances accountability. Clear communication also strengthens transmission: when markets understand how policy responds to risks, expectations adjust more effectively.

7. Conclusion - Institutional Discipline as Prudence

The policy round is the operational backbone of FPAS Mark II. It embeds prudence, transparency, and accountability into the very structure of decision-making. Rather than claiming certainty, the CBA demonstrates credibility by showing how uncertainty is managed.

This framework has positioned Armenia as an international model for agile, modern inflation- targeting institutions. The combination of independence, structure, and disciplined learning defines what credible policy looks like in today's uncertain macroeconomic environment.

Literature & Further Reading

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Script

Hello everyone, I'm Susanna Grigoryan, an economist at the Central Bank of Armenia and a Level One student at the Global Forecasting School. In this video, we'll go inside FPAS Mark II to understand how the anatomy of a policy round works and how it has made the Central Bank of Armenia a global benchmark in operationalizing the principles of FPAS Mark II.

Unlike many institutions that treat forecasting, policy formulation, and communication as separate activities, the Central Bank of Armenia integrates them into a unified and disciplined process known as the policy round. This cyclical process ensures that each stage—from data assessment to communication—feeds back into the next, creating a continuous loop of analysis, decision, and learning. The policy round is not simply a meeting schedule; it is the institutional architecture through which prudence, transparency, and accountability are embedded into every monetary policy decision.

At its core, a policy round under FPAS Mark II is a structured decision-making cycle linking four essential stages: assessment, scenario development, policy decision, and communication. Each stage involves collaboration across departments—Research, Statistics, Financial Stability, and Communication—and each contributes uniquely to the final decision. This process ensures that the central bank acts with coherence, internal accountability, and clear alignment between its analytical framework and policy objectives. The CBA's innovation lies in treating the policy round as a continuous loop rather than a linear sequence. After each decision, the process transitions immediately into evaluation and feedback, preparing the institution for the next round. This dynamic

structure transforms the central bank from a forecasting institution into a learning organization—one that refines its models, judgment, and communication strategy with every iteration.

The first stage of the policy round is devoted to developing a well-grounded assessment of the current economic environment. Although the Staff monitors a wide range of timely indicators—including inflation dynamics, labor market conditions, credit developments, external trends, and expectations—the analytical focus lies in interpreting what these signals collectively reveal about underlying economic forces. The emphasis is on economic reasoning: evaluating whether observed developments reflect temporary fluctuations or more persistent structural shifts, understanding how domestic and global influences interact, and assessing how these interactions shape near-term macroeconomic conditions.

This stage is not a mechanical reading of recent data, but a disciplined exercise in economic judgment. Staff synthesize the various strands of information into internally consistent narratives that explain the state of the economy and the forces driving it. This diagnostic exercise answers the first essential question of the policy framework: where is the economy today, and what explains its current trajectory?

At this stage, staff begin constructing the Mark II illustrative scenarios. They draw on each Board member's Initial Macroeconomic Risk Assessment—the one-pager that outlines the member's interpretation of the forces shaping the economy, the risks and shocks they view as most relevant, and the adverse developments they believe warrant particular attention. These one-pagers serve as the starting point for translating individual perspectives into a coherent set of scenarios that reflects the full range of concerns within the Board.

In the next step, staff then develop a set of internally consistent scenarios: a market reference scenario, a Case A scenario in which the policy rate path lies above the market reference, and a Case B scenario in which it lies below. Additional illustrative scenarios may be constructed when the Board identifies a wider set of risks. These scenarios incorporate shocks relevant to Armenia's economic environment, including changes in commodity prices, external demand, financial conditions, domestic pressures, and broader geopolitical uncertainties.

Each scenario is accompanied by a narrative that explains the economic forces driving that path—how inflation, activity, and expectations would evolve under the assumed conditions, and why. The staff use the full suite of models to quantify these narratives and to ensure that each scenario describes a macroeconomically coherent adjustment back

toward equilibrium. However, the projections are ultimately expert-driven: they rely on economic expertise, sectoral knowledge, and careful interpretation to ensure that each scenario is plausible and analytically sound.

In FPAS Mark II, scenarios are not alternatives to select among but tools for evaluating risks and policy trade-offs. They help the Board assess where the balance of risks lies, how those risks might shift, and what that implies for a prudent policy stance.

With the full policy round’s discussions completed—and after the final market reference, Case A, and Case B illustrative scenarios have been submitted—the Board turns to the policy decision itself. Each member evaluates the scenarios, the associated risks, and the uncertainties emphasized throughout the round, and then submits their proposed course of action. These submissions explain:

- the policy action the member supports,
- how this action fits with their judgment about the way the economy is likely to evolve and the risks they consider most salient, and
- their readiness to adjust the policy stance should incoming information alter the economic landscape.

The final stage of the policy round translates complex internal deliberations into clear public communication. The Monetary Policy Report serves as the main vehicle for this transparency. Its narrative explains the economic context, the reasoning behind the decision, and the risks considered. Unlike traditional reports that focus on a single baseline forecast, the CBA’s Monetary Policy Report highlights scenario analysis and conveys how the Board weighed competing risks. This approach fosters accountability by allowing external observers—markets, academics, and the public—to evaluate the coherence between the central bank’s stated framework and its actions. The clarity of this communication also enhances the effectiveness of policy transmission, as market participants adjust expectations in response to the central bank’s explanation of how uncertainty is managed.

The policy round is the operational heartbeat of FPAS Mark II. It institutionalizes prudence through structure, integrates transparency into every step of the process, and transforms uncertainty from a vulnerability into a manageable feature of policy. The CBA’s approach demonstrates that credibility does not come from claiming certainty but from building systems that handle uncertainty systematically. In this way, Armenia has set a new global standard for how small, agile institutions can lead the next generation of inflation-targeting frameworks.

Thank you for watching, and I would like to acknowledge **Douglas Laxton, Jared Laxton, Asya Kostanyan, and Sopio Mkervolidze** at the **Global Forecasting School** for their guidance and support in producing this video.

See you in the next video!